

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2016-009836

BETWEEN:

BEACON MANUFACTURING LTD

Appellant

- and -

ALLIANCE INSURANCE PLC

Respondent

RESPONDENT'S SKELETON ARGUMENT

A. INTRODUCTION

1. The Respondent contends that the claim is excluded under the policy by reason of the Appellant's material non-disclosure and/or breach of warranty regarding fire safety systems.

B. RELEVANT FACTS

2. The proposal form specifically asked about previous fire incidents and the Appellant answered 'None'.
3. The Appellant had experienced two previous fires in 2018 and 2020, neither of which was disclosed.
4. The policy contained a warranty requiring maintenance of fire suppression systems to British Standards.
5. At the time of the fire, the sprinkler system had been partially decommissioned for maintenance.
6. Had the true position been disclosed, the Respondent would not have written the risk.

C. LEGAL FRAMEWORK

7. The relevant statutory provisions are:
 - Insurance Act 2015
 - Consumer Insurance (Disclosure and Representations) Act 2012

D. SUBMISSIONS

8. The non-disclosure was of material facts that induced the contract.

9. The Respondent is entitled to avoid the policy for material non-disclosure.
10. Breach of the fire safety warranty discharged the Respondent's liability.
11. The claim is in any event exaggerated and not proven.

E. AUTHORITIES

12. The following authorities are relied upon:

- Pan Atlantic Insurance Co Ltd v Pine Top Insurance Co Ltd [1995] 1 AC 501
- Drake Insurance Plc v Provident Insurance Plc [2003] EWCA Civ 1834
- Axa General Insurance Ltd v Gottlieb [2005] EWCA Civ 112

F. RELIEF SOUGHT

13. The Respondent respectfully requests that this Court:

- Declaration that the policy is void ab initio
- Alternatively, that there is no cover for the claim
- Costs

David Roberts KC

David Clarke

9 January 2021

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